# Strategic Management

# Case: Silvio Napoli at Schindler India (A)

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**ROLL NO - FT272022**

**SECTION 2**

**COURSE – STRATEGIC MANAGEMENT**

I am an MBA student analyzing the international entry of Aster Lift Group, a long-established European manufacturer of elevators and escalators. Do not try to identify the real company or case from this description. Work only with the evidence I provide. Treat every assertion below as a proposition that may need to be questioned, not as a conclusion you must endorse.

My task is to decide what Mr. Rowan, the executive leading Aster's new Indian subsidiary, should tell the visiting vice chairman in November 1998 and what he should do during the following 90 days. I want to examine the decision through competitive strategy, strategy implementation, headquarters-subsidiary relations, organizational design, and cross-cultural leadership.

Context

Aster installed its first elevator in India in 1925, appointed a distributor in 1958, and entered a technical collaboration with a local industrial company in 1985. That partner later became India's second-largest elevator supplier, with an estimated market share of 10% to 15%. When the relationship broke down, Aster considered several new partners but concluded that none was suitable. Changes in Indian law made a wholly owned subsidiary possible, so the company approved an independent entry plan in October 1997.

Mr. Rowan had joined Aster after completing an MBA and became head of corporate planning. He worked closely with the 3-member executive committee and led an internal project that produced a standardized, lower-cost elevator. The project redesigned the supply chain, increased outside sourcing, and reportedly reduced the industry's normal delivery cycle of 20 to 30 weeks by half. He then spent 9 months studying India's market, legal environment, and competitors before writing the entry plan. Senior management appointed him to implement it because he knew the company, its senior leaders, the product, and the assumptions behind the plan.

He moved to India in March 1998 as vice president for South Asia. By June, he had recruited an experienced Indian management team and deployed a sales force. His managing director had worked on the customer side of major construction projects. The leaders of field operations and engineering brought extensive experience from the dominant local competitor. The finance and human-resources heads completed a capable local team.

Mr. Rowan tried to create an informal, open, lean company. Staff rented furniture and office space, managers handled much of their own administrative work, and the business maintained offices in Delhi and Mumbai. His own style was energetic, direct, impatient, and deadline-driven. His managing director was older, locally experienced, more patient, and more attentive to relationships and organizational politics. Their differences could provide

balance, but they could also produce unclear authority when commercial judgments conflicted with the approved strategy.

The 1997 Indian elevator market had an installed base of about 40,000 units and annual sales of approximately 5,600 units. Industry revenue, including service, was about US$125 million. Residential customers accounted for 70% of demand, commercial buildings 20%, hotels 4%, and other customers 6%. Mumbai and Delhi together represented 60% of the market. Unit sales had grown at a compound annual rate of 17% during the first half of the decade, but a real-estate slowdown reduced expected growth for 1998 to 5%. Subsequent growth was forecast at 8% to 12%.

Half the market consisted of basic manual elevators. Low-rise elevators represented 35%, mid-rise products 14%, and high-rise products 1%. Government-backed restrictions on unsafe collapsible-gate elevators could gradually move customers toward safer products. Urbanization, space constraints, professionalized construction firms, multinational offices, and hotel development also suggested future demand for more reliable technology.

The market was highly price-sensitive. 4 established companies controlled more than three-quarters of market value. The leader held approximately 50%, operated 70 service centers, employed 3,500 people, and maintained about 16,000 of its 26,000 installed elevators. It was particularly strong in prestigious hotels and commercial buildings. Local and multinational rivals offered customization, manufactured locally, maintained customer relationships, and had established service networks.

The economics of the industry complicate any focus on the initial sale. Engineering, production, and installation generated only about 20% of lifetime profit. Service, repair, modernization, and replacement generated the remaining 80% over an elevator’s roughly 30-year life. A new entrant therefore needs installations to create a maintenance portfolio, but poor early installations could damage its reputation and burden that portfolio.

Aster’s entry plan rejected the prevailing industry model. It proposed a narrow range led by a standardized low-rise elevator, expected to account for 75% of sales, with a more sophisticated model imported from Southeast Asia for selected mid-rise opportunities. The products could receive specified adaptations needed for Indian regulations, but customer-specific customization was excluded.

The subsidiary would have no factory, central assembly operation, or logistics infrastructure. Approved Indian suppliers would produce most components for the main product. European factories would supply only safety gear and speed governors, together accounting for about 10% of the product’s value. An

outside logistics company would coordinate movement of components, and contractors would perform some installation work. Aster would retain maintenance contracts. Local components would have to pass the company's normal product-creation process and receive approval from European experts.

The strategic logic was that standardization and local outsourcing would reduce costs, shorten delivery times, and prevent the new subsidiary from inheriting the overhead of established competitors. The Indian team proposed differentiating the customer experience instead of the product. One account manager would remain responsible through design, planning, contracting, and implementation, replacing the industry practice of handing customers between functional specialists.

The plan targeted 50 unit sales in year one, a 20% share of the chosen segments within five years, break-even after four years, and eventual double-digit margins.

Implementation exposed four connected problems.

First, the Indian managers doubted that a company could enter this market without accommodating customer requests. While Mr. Rowan was abroad in August 1998, they accepted an expensive customized glass elevator imported from Europe. They later pursued an order for four supposedly standard elevators that might each require a glass wall. The managers regarded the second request as a minor adjustment. Mr. Rowan saw both decisions as breaches of an agreed strategy and feared that a new organization would underestimate the resulting engineering and installation complexity.

Second, European transfer prices for the main product arrived 30% above the costs used in the approved plan. The explanation was that costs had risen and the company had introduced a new transfer-costing system.

Third, the Indian government increased duties on imported elevator components from 22% to 56%. The combined effect damaged the pricing and break-even assumptions on which the entry plan rested.

Fourth, Mr. Rowan accelerated local sourcing in response, but Aster's European plants did not promptly provide parts lists, drawings, production specifications, or engineering support. The plants had interests tied to activities that the Indian model proposed to outsource. The subsidiary therefore depended on units whose cooperation its design threatened.

Mr. Rowan also faced personal strain. He divided his working week between Delhi and Mumbai while helping his family deal with medical emergencies, housing, schools, flooding, unreliable infrastructure, and unfamiliar administrative systems. By November 1998, eight months after his arrival, the

company had recruited its team and opened offices but had not installed one elevator. It had no maintenance portfolio and was far behind the first-year target of 50 units. The vice chairman was now visiting and asking for an account of progress.

Questions I need to answer -

1. Assess Mr. Rowan's performance in Aster Lift Group's India entry.
2. What would I have done differently in his position?

My interpretation

Mr. Rowan's performance was mixed. He was strong in strategy design but weaker in execution.

He developed a distinctive entry model based on standardized elevators, outsourcing, low overhead, and better customer service. He studied the market, recruited an experienced Indian team, and responded logically to higher import duties by accelerating local sourcing. The 30% increase in transfer prices and the rise in duties from 22% to 56% were outside his control.

However, he did not secure firm support from the European factories before making local sourcing central to the plan. This was a serious weakness because the subsidiary depended on those factories for drawings, specifications, and technical approval. He also treated standardization too rigidly and did not create a process for evaluating customer-requested modifications. The customized orders showed that his Indian managers did not fully accept the strategy or understand their decision authority.

His impatient style created urgency but sometimes limited learning from managers with greater local experience. After 8 months, the subsidiary had not installed one elevator against a first-year target of 50. It also had no maintenance portfolio, even though service and later activities generated most of the industry's lifetime profits. Therefore, his performance was promising but below expectations at the November 1998 decision point.

What I would have done differently

I would have:

1. Secured written commitments from European factories before launch, with named owners and deadlines for drawings, engineering support, testing, and supplier approval.

2. Involved the Indian management team in testing the standardization strategy against actual customer requirements.
3. Created an exception process for customization. Repeatable, profitable, and technically manageable changes could become standard options. Unique modifications would be rejected or specially priced.
4. Started with a small number of controlled installations for reference customers before pursuing aggressive volume targets.
5. Prepared financial scenarios for changes in duties, transfer prices, and localization delays.
6. Clarified decision rights between the subsidiary leader, managing director, and sales team.
7. Escalated the lack of European support earlier because the subsidiary could not solve that problem alone.

I would tell the vice chairman that the strategic idea remained plausible, but its original economics and implementation timetable were no longer valid. I would request a 90-day recovery period to complete pilot installations, accelerate localization, revise the financial plan, and settle the rules for product adaptation.

Your task

Act as a senior strategy professor. Critically assess my answers rather than agreeing with them.

Use no more than 3 iterations. Use only the context provided. Separate facts from assumptions, do not invent information, and do not identify the real company or protagonist. Begin with the first iteration only.

## Iteration – 1

Before critiquing your conclusions, it's worth separating what the case actually establishes from what your answer treats as established. Several of your claims are more assumption than fact, and a few important tensions in your own argument go unexamined.

**Where your factual base is solid.** The transfer-price increase, the duty hike, the lack of a maintenance portfolio, the zero installations against a 50-unit

target, and the two customization incidents are all stated in the case as you've reported them. Your causal attribution — "outside his control" for the first two — holds up: nothing in the case suggests Rowan could have foreseen either.

**Where you've smuggled in a verdict that the case doesn't support.** You call his performance "strong in strategy design." But Rowan didn't design the strategy alone — he led the internal project on the standardized elevator and spent nine months studying the market before writing the plan, working within an approved framework from a three-person executive committee. Crediting him personally for the strategy's quality, rather than attributing it to a team-and-committee process he was part of, is an inference, not a fact from the text. It also matters for your grading of him: if the strategy was substantially a committee product, "strong in design, weak in execution" undersells how much of the design itself may prove flawed — which your own point 2 (rigid standardization, no exception process) implicitly concedes. You can't fully credit him for the plan's intelligence in one paragraph and then blame the plan's own rigidity as an implementation failure in the next; that's the same document cutting both ways.

**A bigger problem: you've resolved an ambiguity the case leaves open.** You state as fact that Rowan "did not secure firm support from the European factories before making local sourcing central to the plan." But the case doesn't tell us what commitments existed at launch — only that plants "did not promptly provide" documentation once localization was accelerated, and that plant incentives were structurally opposed to the outsourcing model. That is consistent with at least two very different stories: (a) Rowan never lined up factory buy-in, a genuine planning gap, or (b) factories nominally agreed in 1997 but passively resisted once asked to actually execute — a headquarters-subsidiary politics problem that a subsidiary head often cannot fully solve through better planning, because the resistance is rooted in incentive structure, not documentation. Your recommendation #1 ("secure written commitments... named owners and deadlines") assumes story (a). If it's actually (b), written commitments obtained in 1997–98 might have meant little once the plants' interests were threatened — paper commitments don't overcome misaligned incentives. You should flag this as a genuine unknown rather than building your critique of Rowan on top of it.

**Your "customization" narrative treats two different events as one pattern.** The glass elevator was approved while Rowan was abroad — a decision made in his absence, by managers who (on your own read) didn't yet share his interpretation of the strategy. The four-elevator order was something Rowan evaluated and rejected as a breach. Folding both into "the managers doubted the standardization strategy" obscures a sharper question you should be

asking: was the first incident a governance failure (no clear delegated authority for strategic exceptions while the VP is traveling) rather than evidence the team didn't understand the strategy? Those point to different fixes. A delegation/escalation rule addresses the first; more strategy communication addresses the second. Your recommendation #6 (clarify decision rights) actually targets the right problem, but your diagnosis in the "interpretation" section attributes it to the team not "fully accepting" the strategy — a motivational/cultural read where a structural one (nobody empowered to say no while the boss was on a plane) may fit the facts just as well or better.

**Your recovery-period framing may be overstated as a fix.** You propose a 90-day period to "complete pilot installations, accelerate localization, revise the financial plan, and settle rules for product adaptation" — four substantial workstreams in 90 days, one of which (localization, given the plants' documented lack of cooperation) depends on parties outside Rowan's authority and outside the 90-day clock entirely. Presenting this as achievable in the stated window risks repeating the exact planning error you're diagnosing in Rowan: setting a timetable that depends on cooperation the plan cannot compel. Worth asking yourself: what should the vice-chairman conversation actually be about — a recovery plan Rowan owns, or an escalation asking the vice-chairman himself to intervene with the European plants, since that lever sits above Rowan's authority and arguably always did?

One more gap: neither your assessment nor mine so far has weighed the personal/cross-cultural dimension you flagged in your prompt (Rowan's family strain, his MD's contrasting style) against the "impatient style limited learning" claim. Is that a performance failing, or a foreseeable cost of the assignment design itself — sending one person to run two cities' operations while also being the plan's primary author and its main link to skeptical headquarters? That's worth taking up next.

Let me know if you want to proceed to iteration 2, or redirect first.

## My Answer –

I agree that my original assessment drew too sharp a line between strategy design and execution. Rowan contributed heavily to the plan, but senior management approved it and others helped shape it. Its rigid approach to standardization and dependence on European support were design risks, not just implementation problems.

I also cannot conclude that Rowan failed to secure factory commitments. The case does not say whether such commitments existed. The delay may reflect

weak planning, broken promises, or resistance from factories whose interests were threatened. If incentives caused the resistance, written commitments alone would not have solved it. Rowan needed the vice-chairman to intervene.

The customization incidents should be treated separately. The glass-pod order points to unclear authority while Rowan was absent. The proposed glass-wall order exposed a disagreement over acceptable adaptation. One needed better decision rules; the other required a clearer definition of standardization.

I would also revise the 90-day proposal. Rowan could not promise localization on a timetable controlled by European factories. He should use the period to revise the economics, define adaptation rules, assign responsibilities, and secure senior-management action on factory support.

Finally, Rowan's impatience was partly a leadership weakness, but the assignment itself placed excessive demands on him. He was managing two cities, family disruption, local execution, and headquarters resistance at the same time.

My revised view is that Rowan's performance was committed and capable, but uneven. The problems came from a mixture of strategy design, unclear governance, external shocks, internal resistance, and the demanding structure of his assignment.

## Iteration – 2

Your revision is tighter, and the four-way attribution (design, governance, external shocks, internal resistance, assignment structure) is a genuine improvement over a single "mixed performance" verdict. A few places still deserve pressure.

**"Committed and capable, but uneven" risks becoming a verdict that fits any outcome.** It's accurate, but it's also unfalsifiable in the way case-method answers often drift toward — a professor grading this would ask you to rank the causes, not just list them. Of the five factors you now name (design rigidity, unclear governance, external shocks, factory resistance, assignment overload), which one, if fixed, would have changed the November 1998 outcome most? The case gives you a testable way to answer this: the plan's central vulnerability was never really "no elevators installed" in isolation — it was that the *entire* economic model (low overhead, low cost, fast delivery) depended on a supply chain Rowan didn't control and had no leverage over. Transfer prices, duties, and factory cooperation are three separate shocks, but they all hit the

same single point of failure: dependence on Europe. That's a design/structural issue, and arguably the most important one, because it's the one that would have produced trouble even absent the specific 1998 shocks. You should consider stating a ranked view rather than a flat list, since "uneven" as a final answer doesn't yet tell the vice-chairman what to fix first.

**You've now correctly separated the two customization incidents, but you haven't asked who is actually accountable for each.** For the glass-pod order: is it fair to hold Rowan responsible for a decision made in his absence by managers he himself recruited and whose judgment he presumably trusted enough to leave in charge? Or does accountability run upward to him regardless, since building an organization that can act coherently without him is precisely a VP's job? Both are defensible readings — the case doesn't resolve it — but your answer should pick one explicitly and say why, rather than let "unclear authority" quietly absorb the question of whose fault the unclear authority is. On the glass-wall order, you note it "exposed a disagreement over acceptable adaptation" — but notice this happened *after* Rowan had already treated the glass-pod decision as a breach. If the team proposed a similar accommodation again so soon afterward, that's evidence the correction didn't take, which is a communication or credibility problem for Rowan specifically (not a structural governance gap), separate from whatever caused the first incident. Your two categories are right, but the sequence between them is itself a data point about Rowan's effectiveness as a corrector, and you haven't used it.

**The revised 90-day plan is more defensible, but check what it implies about the November conversation.** You now say Rowan should "secure senior-management action on factory support" rather than promise the localization himself. That's a good instinct, but it changes what kind of meeting this is. If the central ask is for the vice-chairman to intervene with the European plants, the honest framing to give him isn't "here is my recovery plan" — it's "here is what I can fix, and here is what only you can fix, and I need a decision from you on the second part before I can commit to a revised timetable on the first." Your answer should be explicit that part of Rowan's task on that day is managing upward, not just reporting downward performance. That's a harder, more exposed conversation than a status update, and it's worth asking yourself whether your recommended framing actually forces that admission or lets Rowan (and you) soften it into "I need 90 more days," which is the same request the original plan implicitly already failed to deliver on once.

**One factual point worth double-checking your own reasoning against:** you attribute part of the strain to Rowan "managing two cities" — true per the case (Delhi and Mumbai offices) — but the case doesn't say the *family* disruptions

(medical emergencies, schools, flooding) were a foreseeable structural feature of the assignment versus ordinary bad luck in a given eight-month window. It's fair to note both as real pressures on him personally; it's a further, less supported step to fold family disruption into an indictment of "the assignment structure," since a different expatriate executive in the same structural role might not have hit medical emergencies or flooding at all. Worth keeping those as two separate categories in your final answer: structural overload (two cities, dual role as plan author and implementer, sole link to skeptical HQ — genuinely built into the assignment) versus personal misfortune (family health, weather — not a structural feature, just a bad draw). Only the first should count as evidence about how the *role* was designed; the second is evidence about resilience under pressure, which is a different evaluative dimension.

Want to go to iteration 3, or is there a specific thread here (the accountability question on the glass-pod order, or how to frame the vice-chairman conversation) you'd like to settle before closing?

## My Answer –

I would rank dependence on Europe as the main cause of the poor November 1998 position. The low-cost model depended on European components, technical information, and factory cooperation. Transfer-price increases, higher duties, and delayed engineering support all exposed this single structural weakness. Without fixing it, better leadership or clearer customization rules would not restore the business model.

I would hold Rowan accountable for the glass-pod order, even though managers approved it while he was away. As subsidiary head, he was responsible for creating decision rules that worked in his absence. The later glass-wall proposal is more damaging to his performance because it shows that his response to the first incident did not change the team’s behaviour. His message was either unclear, unconvincing, or inconsistent with commercial realities.

The vice-chairman meeting should therefore be an upward-management conversation. Rowan should state what he can fix locally, including decision rights and adaptation rules, and what requires intervention from senior management, especially factory cooperation and incentives. He should not request 90 more days without first securing those decisions.

I would also separate structural overload from personal misfortune. Managing two cities while acting as plan author, subsidiary leader, and headquarters link was built into the role. Family illness and flooding added real pressure, but they were bad luck and should not be treated as evidence that the assignment was badly designed.

## Iteration 3 of 3

This version holds together. The ranking is defensible, the accountability split on the two customization incidents is sharper than before, and separating structural overload from bad luck is the right distinction. A few final pressure points, then a closing note on what remains genuinely unresolved.

On ranking Europe-dependence as the primary cause: this is well-argued, but check the counterfactual you're implying. You say "without fixing it, better leadership or clearer customization rules would not restore the business model." That's true for restoring the original economics — but it doesn't follow that leadership and governance were therefore secondary to the November 1998 problem you were actually asked to assess, which is zero installations, not a damaged long-run margin structure. A tighter decision-rights regime plus faster resolution of the glass-pod ambiguity might well have produced some installations even with the dependency unresolved — the dependency broke the plan's economics, but it didn't by itself stop elevators from going in the ground for eight months. Worth being precise in your final answer about which question the ranking answers: "what makes the business model unviable long-term" (Europe dependence, clearly first) versus "what explains zero units after eight months" (closer to a tie between the dependence and the slower, more local governance failures, since the case doesn't actually attribute the installation delay to the supply chain problems alone — it attributes it to a combination including the customization detours and, implicitly, however much time the team spent debating rather than executing).

On holding Rowan accountable for the glass-pod order: this is a reasonable position, but you should register that it's a position, not the only defensible one, and say what's doing the work in your choice. The competing view — that a VP who empowered a capable, locally experienced team and was traveling on

legitimate business shouldn't be held responsible for a single judgment call made in his absence — is not unreasonable either; plenty of organizational-design thinking holds that absence-proofing every decision is itself unrealistic for a lean, informal structure Rowan deliberately built (the case explicitly says he wanted "an informal, open, lean company"). Your view wins on the stronger argument (a subsidiary head is responsible for the decision rules that operate in his absence, full stop), but a professor would want you to name that this is the tension you're resolving, not treat it as self-evident. The glass-wall recurrence is genuinely your strongest piece of evidence, and you're right to weight it heavily — repetition after a stated correction is much harder to explain away as circumstance.

One thing your three iterations have not yet addressed and probably should before finalizing: what "success" would have looked like at month eight even under good execution. The plan targeted 50 units in year one; the case gives no monthly ramp, but a 30-year-life, service-driven business with a from-scratch subsidiary (no factory, no existing customer relationships, an entirely new brand in a trust-dependent, relationship-driven market) plausibly has a long lead time between recruiting a sales force (done by June) and first installations, independent of any of the failures identified. Elevator sales cycles in this kind of market often run months from contract to installation given design, regulatory adaptation, and construction dependencies. You haven't tested whether zero installations by November is actually anomalous against the plan's own assumed ramp, or whether it's within a normal range that the 50-unit annual target already priced in a slow start. This matters for your final verdict: if zero-by-month-eight was always going to happen even in a good scenario, "uneven performance" is too harsh a framing for that specific data point, and the real story is entirely about economics and governance, not pace. The case doesn't give you the monthly ramp assumption, so this has to stay flagged as an open question rather than resolved — but it's worth stating explicitly in your written answer as a limitation, since your reader (presumably a grader or discussion group) may raise it.

Closing synthesis, for your own write-up rather than as a new claim: your three iterations have moved from a single verdict to a structured one — rank the causes (Europe-dependence primary, structural overload real but bounded, governance/customization-response a secondary and more clearly Rowan-attributable failure, personal misfortune noted but excluded from the structural argument), attribute accountability explicitly where the case is ambiguous rather than picking a comfortable reading, and reframe the vice-chairman

meeting as an upward-management ask rather than a status report. That's a stronger answer than the one you opened with. The one place I'd still flag as unresolved, and worth a sentence of intellectual honesty in your final write-up, is the zero-installations benchmark question above — you don't have the data to know how anomalous that number really was, and saying so is more defensible than treating it as self-evidently damning.

That closes the three iterations as scoped.

## Final Answer

**1. Assessment of Mr. Rowan’s performance**

Mr. Rowan’s performance was capable but uneven. He studied the market, developed a focused entry plan, recruited an experienced local team, and built a lean organization. The strategy had clear logic: standardization and outsourcing would reduce costs, while account management and service would distinguish Aster.

Its main weakness was dependence on Europe. Higher transfer prices, increased import duties, and delayed factory support damaged both localization and the original economics. These events were outside Rowan’s control, but managing this dependence was part of his role.

He also bears some responsibility for unclear decision rights. The glass-pod order was accepted in his absence, but the later glass-wall proposal showed that disagreement over customization continued. His forceful style created urgency but may have limited learning from local managers.

Zero installations after 8 months was concerning because Aster needed an installed base for maintenance income. However, the case does not provide a monthly installation schedule, so the extent of the delay is uncertain. Overall, Rowan showed initiative and strategic clarity but was weaker in anticipating resistance, governing local decisions, and adapting the plan.

**2. What I would have done differently**

I would have treated the plan as a set of assumptions to test. Before launch, I would have secured senior-management backing, clear factory responsibilities, deadlines, and incentives for localization.

I would have involved the Indian team earlier, clarified who could approve nonstandard orders, and created an exception process. Modifications would be allowed only if they were repeatable, profitable, technically manageable, and unlikely to delay delivery.

I would have started with a few reference installations before pursuing volume. Finally, I would have escalated the factory resistance earlier. Rowan could fix local governance, but only senior management could align the European factories and restore the entry model’s viability.